BANGLADESH BANK

Banking Regulation and Policy Department (BRPD)

BRPD Circular No. 16 Date: 01 December 2024

All Scheduled Commercial Banks and Financial Institutions in Bangladesh

Subject: Guidelines on Ultimate Beneficial Ownership (UBO) Disclosure

Dear Sir,
To combat trade-based money laundering, illicit financial flows, and willful default through shell corporations, Bangladesh Bank issues these guidelines under Section 45 of the Bank Company Act, 1991.

1. Threshold for Ultimate Beneficial Ownership:
Any natural person holding directly or indirectly 10 percent or more equity interest, voting rights, or controlling management authority in a borrowing entity must be identified as an Ultimate Beneficial Owner (UBO).

2. Mandatory Obligations:
All scheduled commercial banks must obtain verified UBO declarations and National ID / Passport copies prior to loan disbursement or renewal of credit lines exceeding BDT 5 Crore.
Banks must submit biannual UBO compliance status reports to BRPD and BFIU within 15 days of each half-year end.

3. Supersession:
This circular supersedes BRPD Circular Letter No. 05 dated 12 March 2018 on shareholder disclosure.

Yours faithfully,
(Mohammad Shahriar Siddiqui)
Director, BRPD